FX Daily: Headlines from Beijing can cap USD

The dollar is in a stronger position thanks to the lack of any progress in the Gulf, but the ongoing Trump visit to China could lead to some constructive headlines keeping risk sentiment supported and the dollar capped. In the UK, political risk still has room to rise as a leadership challenge against Starmer could be initiated today

Chinese President Xi Jinping with US President Donald Trump during a welcome ceremony in Beijing on 14 May 2026

USD: Hot PPI raising some concerns

The US PPI report published yesterday was a bit of a shocker, with the headline jumping 1.4% MoM (consensus 0.5%) and the measure excluding food and energy by 1.0% MoM (consensus 0.3%).

The only silver lining is that the acceleration was heavily driven by airfares (+3% MoM), while inflation in components feeding into the Fed preferred core US PCE measure remained relatively muted. Still, the print rings alarm bells for the Fed, with December pricing edging above 10bp of tightening.

The bond market is also failing to show much stress. 10y breakeven rates (a measure of inflation expectations) are now at 2.5% and the 2y close to 3%. In our rates teams' view, that's still relatively tame. The break above 4.50% in 10-year yields would catapult us back to the chaotic tariff summer of 2025 in terms of levels, but this is a much better-behaved bond market, and higher yields should support USD, not harm it as they did in 2025 when fiscal concerns were mounting.

A lack of progress in Gulf negotiations would argue for further USD gains, but much of the focus today and tomorrow will be on Trump's visit to China. Historically, face to face summits involving the US president have tended to generate a slew of conciliatory headlines, which can bolster risk assets. In particular, any hints that China could play a more active role in pressuring Iran towards a peace deal would likely be well received.

Ultimately, tangible progress would be required to push the dollar back to last week's lows, but constructive headlines out of Beijing should be sufficient to keep a cap on the greenback for now.

Francesco Pesole

EUR: Short-term fair value at 1.180

The euro is still attracting buyers at 1.1700. While that might sound counterintuitive, given that oil prices are steadily above $100, our model tells us that the short-term fair value is currently at 1.180. The main driver remains global equity resilience, which is offsetting both higher oil prices and tighter short-term swap rate differentials.

All this means two things. A break below 1.170 needs softer global risk sentiment to be sustainable, not just higher oil, and if thrust from AI enthusiasm in equities comes to a sudden halt (Nvidia's earnings next week are an event risk), the downside for EUR/USD could become significant.

Meanwhile, EUR/NOK broke the key 10.80 support yesterday. NOK remains in an ideal spot with stalled US-Iran negotiations, upbeat risk sentiment and attractive carry, and 10.70 may be broken soon too. But it's important to note that, unlike EUR/USD, the highest beta in our EUR/NOK model is actually oil prices, and any new de-escalation bets can cause rather sharp corrections in the (likely oversold) pair like the one we saw last week.

Francesco Pesole

GBP: Political headlines remain central

The latest from UK politics is that Health Secretary Wes Streeting is reportedly preparing to start a leadership challenge against PM Keir Starmer, who has pledged to fight on. Both the pound and gilts seemed rather relaxed about this development. That's because a potential Starmer departure had been priced in to some extent and Streeting belongs to the most centrist branch of the Labour Party. Incidentally, leadership challenges can take months, and there are some impracticalities in pricing non-imminent events in an environment of potential rate hikes and energy price volatility.

Previous instances also suggest that the markets are more preoccupied with Manchester mayor Andy Burnham's aim to replace the PM, given previous comments on potentially abandoning the fiscal rule.

Risk premium on the pound, measured by EUR/GBP short-term overvaluation, remains contained at around 0.3%. This confirms markets aren't very concerned, but also that downside risks for the pound remain elevated if gilts take a hit from fresh political headlines.

This morning, 1Q GDP accelerated in line with expectations to 0.6% QoQ. The monthly figure for March was stronger than consensus (0.3% MoM). We're still very sceptical of these numbers, given 1Q GDP has come in much stronger than the rest of the year since 2022, pointing to seasonal adjustment problems.

Francesco Pesole

TRY: A cautious tone and a new forecast

The central bank will publish its inflation report today for the first time since the start of the US-Iran conflict, which should reflect the latest stronger inflation prints and higher global energy prices. The inflation forecast range is likely to be increased from February's 15-21%. However, the question is whether the CBT will also change the interim target for the end of the year from the current 16%. These projections were based on an average oil price assumption of $61/bbl for 2026 with $93/bbl in the ING forecast (now roughly 50% higher).

Turkey is the most exposed country to oil prices within the CEEMEA region and disinflation saw some cracks even before the conflict began, complicating the central bank's mission. April inflation saw a jump from 30.9% to 32.4% YoY and 1.9% to 4.2% MoM, however, momentum has been growing since the beginning of the year. Add to this the widening current account deficit in the first month of the US-Iran conflict to around 2.6% of GDP (12-month rolling). The CBT is thus in a difficult situation and we will hear a cautious tone today. We expect inflation at the end of the year to be 28.5%, which should keep the CBT on hold in the coming months.

The market is pricing in a first rate cut in September and around 300bp of easing this year, which is roughly in line with our forecast at this point and it seems the market can get more hawkish from here if the global situation escalates further. FX has seen a more dynamic last two months, with USD/TRY remaining on an upward trajectory and the central bank allowing a bit more depreciation pace in recent weeks (around 1.0% MoM before the US-Iran conflict and 1.6% currently), but still leaving decent carry on the table.

Even though we have seen some reduction in FX reserves, they remain safely high, and long TRY positioning has started to recover after the March reduction. Therefore, we do not expect much change here at this point apart from the thinning carry.

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Disclaimer

The Commodities Feed: Oil market in wait-and-see mode ahead of Trump-Xi meeting

The oil market is eagerly awaiting the outcome of the meeting between President Trump and President Xi, and whether it could yield some positive results on the Iran war

Energy - Further pressure on oil demand

Oil prices are in a wait-and-see mode ahead of President Trump and President Xi's meeting in Beijing. The market could be pinning too much hope on the US-China talks yielding some positive results on Iran. Some hope that China could exert pressure on Iran to reach a deal with the US, to end the war and lead to a resumption of energy flows through the Strait of Hormuz.

The IEA released its latest monthly oil market report yesterday. It once again aggressively revised its demand forecasts for 2026 downward. The IEA now expects global oil demand to fall by 420k b/d year-on-year, leaving it 1.3m b/d below pre-war level forecasts for 2026. This decline is predominantly driven by the petrochemical and aviation sectors. Global oil supply is estimated to have fallen by 1.8m b/d in April, bringing supply losses since February to 12.8m b/d. As a result, oil inventories continue to decline. They are estimated to have fallen by 129m barrels in March, and preliminary numbers suggest a further 117m barrels decline in April.

OPEC's monthly oil market report, released yesterday, showed the group's crude oil production fell by a further 1.73m b/d month-on-month to 18.98m b/d in April. Persian Gulf production continues to trend lower due to the disruption of oil flows through the Strait of Hormuz. This data includes UAE production, as the country officially left the group only on 1 May. OPEC is more constructive on demand; it still expects global demand to grow by 1.17m b/d in 2026.

In the US, EIA weekly data continued to show a tightening in the domestic oil market. Total commercial crude oil inventories fell by 4.31m barrels over the week. When SPR releases are taken into account, total crude inventories declined by 12.91m barrels. The draw is driven by continued strength in crude oil exports, which grew by 742k b/d week-on-week. Refiners also increased their utilisation rates by 1.6 percentage points as we head closer towards the stronger demand period through the summer months. Despite the increase in refinery runs, gasoline inventories still fell 4.1m barrels over the week. This will be a concern as we head into the summer driving season. Meanwhile, distillate stocks rose by just 190k barrels.

Metals – Copper trades near record highs

Copper extended gains above $14,000/t in Wednesday's session, trading close to its all time high of $14,527.50 set in late January. Supply-side risks continue to dominate price action. Firmer spot demand in China and tightening conditions across refined markets are underpinning prices. Limited sulphur availability in the Middle East continues to constrain parts of the supply chain.

The move above $14,000/t highlights just how tight the copper market has become. Low inventories outside the US and ongoing disruptions across key producing regions leave prices increasingly sensitive to any incremental demand growth.

While metals markets have been relatively resilient following the escalation of Middle East tensions earlier this year, higher energy prices and broader macro uncertainty continue to weigh on manufacturing activity and global growth expectations. At the same time, supply-side risks linked to the conflict are supporting several industrial metals.

Copper has become more closely linked to broader macro sentiment. Recent strength in US equities and renewed optimism around technology demand have supported momentum, even amid elevated geopolitical uncertainty. The reopening of the COMEX-LME arbitrage has encouraged additional metal flows into the US, further tightening availability in other regions.

That said, current price levels appear to be driven more by supply concerns than underlying consumption. Elevated oil prices and tight financial conditions are likely to continue weighing on demand, leaving copper vulnerable to a pullback should supply disruptions ease or arbitrage-driven flows normalise. Market focus will likely remain on inventory trends, Chinese demand signals, and the extent to which geopolitical disruptions continue to constrain refined metal supply.

Positioning has also become more supportive. The latest COTR report shows speculative net long positions in copper rose for a second consecutive week, increasing by 611 lots to 60,576 lots in the week ending 8 May, the highest level since December 2025. Net long positions also increased in zinc, while aluminium saw a modest further reduction in speculative length.

In other industrial metals, aluminium surged to the highest level since March 2022 after a jump in requests to withdraw aluminium from LME warehouses. Orders jumped by 27,750 tonnes to 47,025 tonnes, the biggest increase since March.

In precious metals, India, the world's second-largest gold consumer, has more than doubled import tariffs on gold and silver. This is part of efforts to support the rupee and ease pressure on foreign exchange reserves as the Iran conflict drags on. The government raised the tariff on gold and silver imports from 6% to 15%.

The move follows recent appeals from Prime Minister Narendra Modi urging consumers to curb gold purchases, overseas travel and fuel consumption. India meets most of its gold demand through imports, with gold and silver accounting for nearly 11% of total imports. The tariff hike is likely to be a near-term headwind for physical gold demand in India, potentially tempering local buying and weighing on import flows.

Agriculture – India bans sugar exports

The Indian government has banned sugar exports until the end of September to ensure adequate domestic supply. Indian sugar output estimates for this season have edged lower, while there are concerns that next season's output could come under further pressure with expectations for a below-normal monsoon this season. This will provide some support to the sugar market, which has also benefited from higher oil prices. It's likely to push producers in CS Brazil to allocate more sugarcane to ethanol production at the expense of sugar.

London cocoa declined for a second consecutive session, falling more than 5% amid profit-taking and heightened volatility. The two-day drop has largely erased Monday's nearly 12% gain. Volatility in the market has picked up as attention increasingly turns to the outlook for the 2026/27 season.

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Energy shock drives broader inflation in Belgium - a warning sign for Europe

April's inflation jump in Belgium is no longer "just energy". It's starting to look broader. If this were to be seen across the eurozone, the European Central Bank would need to act or risk falling behind the curve again

2022 all over again?

For a central bank, a stagflation shock is a policy nightmare. Hiking rates won't lower oil prices, so it barely touches the root cause of inflation. Worse, higher rates would hit demand that is already squeezed by lost purchasing power. Yet if demand holds up, firms can pass costs on, and inflation broadens. That's exactly what happened in 2021–2022: what looked like a temporary energy spike became the strongest inflation surge since the 1970s, helped by post Covid pent up demand. The question is: are we heading down that path again?

A quick, sharp shock

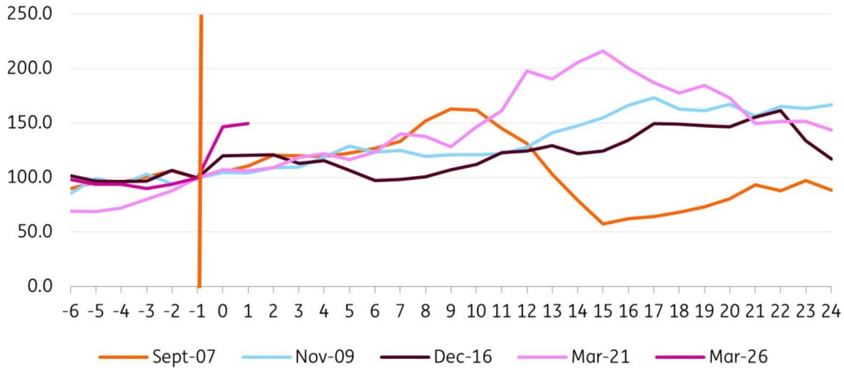
Central banks, therefore, need to track prices closely to see whether the energy shock stays contained, or turns into a broader inflation wave. In Belgium, early signs of spillover are starting to stack up.

The initial jump in energy prices has been striking. The chart below compares recent episodes of oil shocks (here: at least +10% year on year in euro terms). It is rare to see oil rise this sharply and this quickly. As a consequence, Belgium's energy inflation swung from around –8% in January to above +12% in April.

This surge pushed Belgian headline inflation from 1.65% in March to 4% in April. Still, a broader inflation wave is not guaranteed. A violent energy shock can also curb consumption enough to limit pass through. To judge the risk, we need to look beyond headline figures.

Oil prices: the sharpest rise in 20 years

(oil price in euros during oil shocks; start of shock = 100)



Source: LSEG Datastream. Note : An oil shock is defined here as an increase of at least 10% in the price of oil in euros.

Belgium: signs of spillover

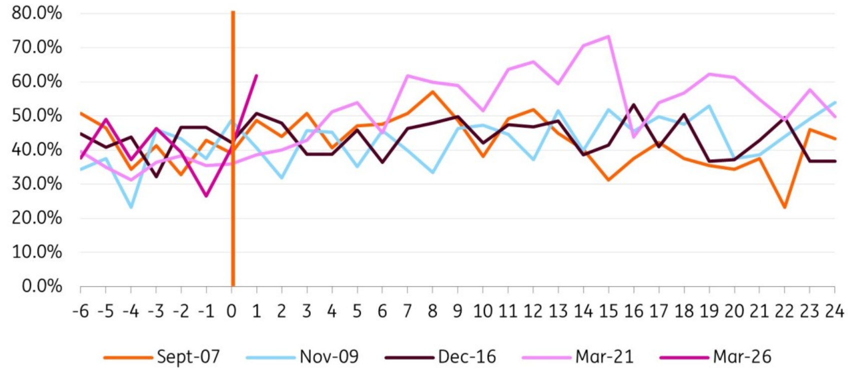
Belgium's consumer price index tracks roughly 215 categories of goods and services, each weighted by its share in household spending.

To see whether the shock is spreading, we can examine how prices move across those 215 items. In Belgium, the distribution is already shifting in a worrying direction:

- In a typical month, the price of 46% of items rises by at least 2%. That share was 39% early this year, but jumped to 51% in April.
- On a yearly basis, 24% of items usually run above 4% inflation. The share moved from 21% at the start of the year to 27% by April.
- Most telling: the share of items whose inflation rose versus the previous month. Historically, it averages 43%. It fell to 27% early this year, as a clear sign of inflation normalisation, then surged to 62% in April, a level rarely seen (chart below). During the last inflation wave, this metric led headline inflation (62% in Oct 2021; peak 73% in Jun 2022).

Low inflation early in the year made April's jump look even sharper. But it is becoming harder to argue that this is "just" energy. If April's pattern persists, and especially if it spreads across the euro area, the ECB's lesson from 2022 is clear: move early, or risk falling behind the curve again.

Share of items whose inflation increased month to month, across oil shocks



Source: Statbel. Computation: ING

Competitiveness at stake

In Belgium, inflation quickly feeds into competitiveness and public finances. Automatic indexation links wages and many benefits to prices, so inflation shocks rapidly lift labour costs and government spending. This renewed inflation will trigger nominal wage increases that were not priced in at the start of the year. Because neighbouring countries adjust more slowly, Belgium risks a short term competitiveness hit.

That said, the government had planned to tweak indexation from July. For a limited period, pay above the median wage (€4,000 gross) and benefits/pensions above €2,000 would no longer be fully indexed beyond those thresholds. The proposal satisfies neither workers, who would lose purchasing power, nor employers, who will face extra social contributions in exchange for the capped indexation system.

Unions and employers negotiated an alternative: keep automatic indexation, but smooth its timing, so wage costs adjust more gradually and competitiveness shocks are less abrupt. Despite the difficult social climate, the government has so far rejected this historic deal, arguing it would cost the public finances more in the short run than its own plan.

The timing of this new energy shock could hardly be worse: the price shock intensifies the debate over automatic indexation for most incomes, and raises the stakes for business competitiveness.

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Hormuz oil shock tilts shipping towards alternative fuels

The current oil price shock is making alternative fuels more cost competitive in the shipping sector. LNG benefits the most, becoming even more attractive compared to conventional bunker fuels. Methanol is also becoming more viable, strengthening the case for methanol-ready vessels. Still, the emissions benefits remain limited

Hormuz disruption has disrupted oil supply and pushed shipping fuel prices higher

Alternative fuels more attractive now as oil shoots higher

The Middle East conflict and blockade of the Strait of Hormuz have disrupted oil supply and pushed shipping fuel prices, like marine gas oil (MGO), sharply higher. In this environment, fuel strategy is no longer just about cost, but also about securing supply and managing price risks. At the same time, higher prices and greater uncertainty are shifting the relative economics of alternative fuels, even as regulatory progress has slowed with the delayed introduction of a global carbon price under the IMO's Net Zero Framework.

Prices for Marine Gas Oil spiked due to the closure of the Strait of Hormuz

MGO bunker prices in Rotterdam in $ per tonne; we'll analyse two scenarios

Source: ING Research based on Refinitiv

Our modelling shows how the costs and economics of renewable fuels of non-biological origin (RFNBOs) – also called synthetic or e-fuels – change in a high oil price scenario, from a Northwest European perspective. The Middle East war has squeezed the supply of oil and oil products. LNG is similarly affected, but less so, as more capacity is coming online, and natural gas continues to be supplied through regional production and pipelines.

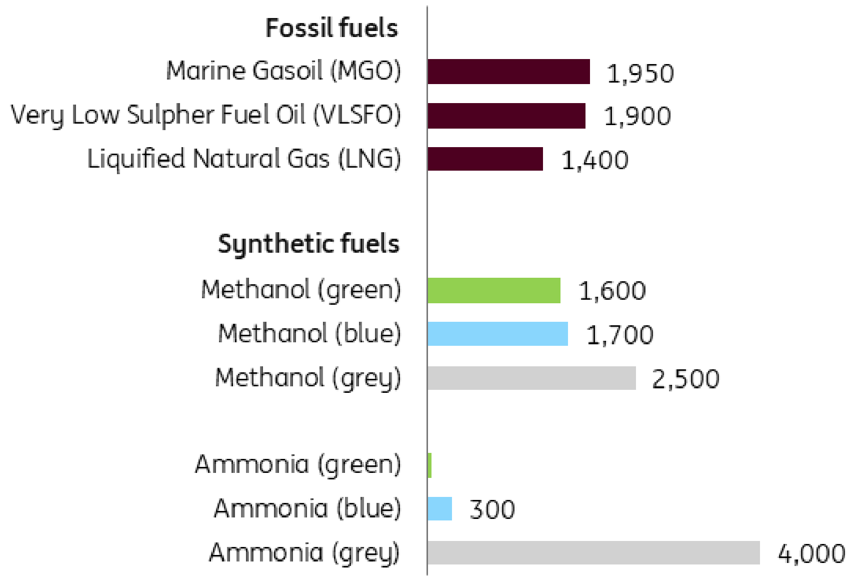
Our analysis translates the current geopolitical risk into a simple message for shipowners and cargo owners: when oil products spike and gas rises less, the relative economics of LNG and (to a lesser degree) methanol and even ammonia improve quickly, even if the absolute cost of all energy carriers rises.

Decarbonisation requires shift to lower carbon fuels

While geopolitical tensions do not alter the fundamental science behind decarbonisation, and hence emissions, they do influence the economics of the business case for different fuels. Traditional marine fuels such as marine gas oil (MGO) and very low sulphur fuel oil (VLSFO) currently generate approximately 1,900 kg of CO2 per deadweight tonne for every 1,000 kilometres sailed. This carbon footprint can be lowered by transitioning to alternatives like LNG or synthetic fuels, like methanol and ammonia. However, meaningful climate benefits are achieved only when vessels use the green or blue variants of these synthetic fuels. Just switching to grey methanol or ammonia would only worsen the footprint to 2,500 or even 4,000 kg of CO2.

LNG and blue and green versions of synthetic fuels can reduce carbon emissions from shipping

Indicative well to wake emissions for different shipping fuels in kilograms CO2 per deadweight tonnage per 1,000 kilometres (kgCO_2/DWT/1,000km)



Source: ING Research

See the end of the article for a detailed explanation of the model and its underlying assumptions. In this analysis, the "colour" reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen is produced with electrolysers powered by low-carbon electricity. A key nuance is that methanol molecules inherently contain carbon. As a result, combustion always releases CO_2, regardless of the production pathway. Even green methanol therefore leads to residual emissions at the point of use. In addition, our modelling assumes that the carbon input for methanol production is sourced from natural gas, which reflects current industry practice in Europe. We therefore do not account for potential negative emissions that could arise from alternative carbon sources such as biomass or direct air capture (DAC).

Structural changes in fuel prices can significantly influence how and when alternative solutions are adopted within the shipping industry. To assess this impact, we examine the impact of current high prices on the business case for oil and gas-based shipping fuels and synthetic fuels like methanol and ammonia. The duration of elevated fuel prices remains a subject of intense discussion and is closely tied to ongoing geopolitical developments surrounding the closure of the Strait of Hormuz, as well as the potential damage to oil and gas infrastructure in the Middle East from further conflict. You can find our most recent scenario analysis here. In this article, we set aside geopolitical factors and focus solely on how sustained higher prices affect the cost dynamics of various fuels.

When oil products remain high, LNG becomes more attractive

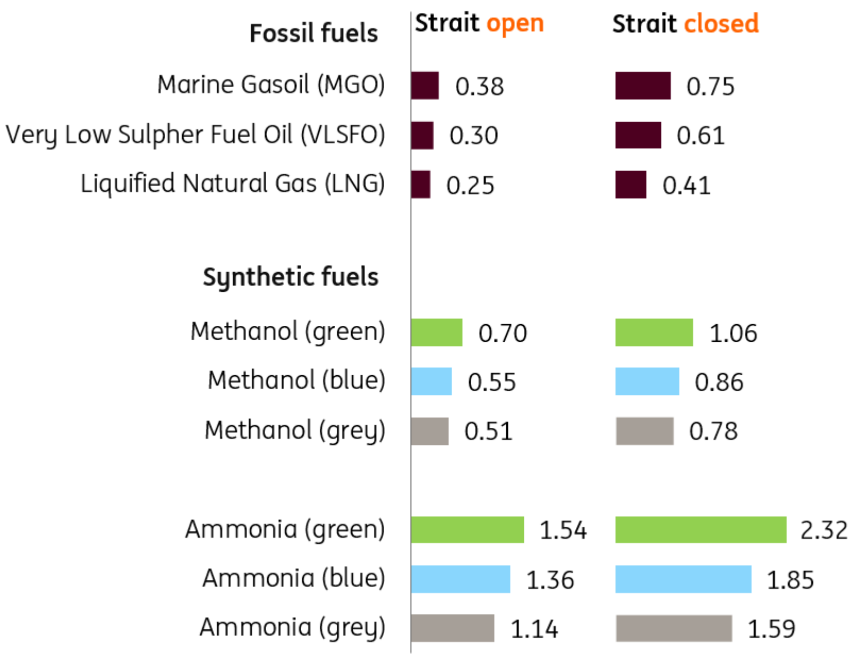
In the high-price scenario – the one most relevant under a continued Hormuz disruption – oil products become the big movers:

- MGO rises from 0.38 to 0.75 $/DWT/1,000km (+97%)
- VLSFO rises from 0.30 to 0.61 (+103%)
- LNG rises from 0.25 to 0.41 (+64%)

The key mechanism is that the high case hits oil products harder than gas and power inputs. LNG becomes the most attractive "available now" hedge. In other words, the Hormuz-driven oil shock makes LNG not only a transitional decarbonisation option, but also commercially the most attractive option.

LNG gets more competitive as the Strait of Hormuz remains closed and price gap with green and blue methanol narrows

Indicative unsubsidised costs of shipping fuels in $/DWT/1,000km



Source: ING research based on energy prices from Refinitiv and fossil fuel prices in shipping from Clarkson

Methanol gains traction faster than ammonia

Over the last three years, methanol has outpaced ammonia in commercial momentum in deep-sea shipping. There are four practical reasons:

1. Engine and vessel adaptation is simpler and faster. Methanol can be used in internal combustion engines with fewer "system-wide" changes than ammonia, which require more extensive redesign and new safety systems.
2. Bunkering and handling are more straightforward. Methanol is a liquid at ambient conditions, which reduces complexity compared to ammonia configurations.
3. A "ready now / ready later" option exists. Orders for methanol-capable and methanol-ready dual-fuel vessels have become a pragmatic bet: shipowners can run on conventional fuels

today and switch as low-carbon methanol supply grows. It is also a hedge against the possibility that policy pushes faster toward low-carbon fuels than infrastructure.

4. From a cost perspective, methanol is currently more attractive than ammonia.

Methanol's CO2 footprint signals a downside; only blue and green deliver progress

Methanol still contains carbon, which is emitted as CO2 when burned. This limits its CO2 reduction potential compared to ammonia, which is carbon free at the tailpipe. Only blue and green methanol deliver emission reductions relative to MGO and VLSFO and even then, the emissions reduction seems to be modest compared with LNG, at least in our framework, where methanol is currently predominantly produced from natural gas in Europe, compared to biomass (as a future green alternative), or coal (common practice in China). This matches our earlier warning: synthetic fuels can increase emissions if they are produced in a non-sustainable way, because the production chain is energy-intensive and the carbon intensity of inputs dominates outcomes. The economics and climate credentials of gas-based methanol remain challenging compared to LNG, even when produced as blue or green variants.

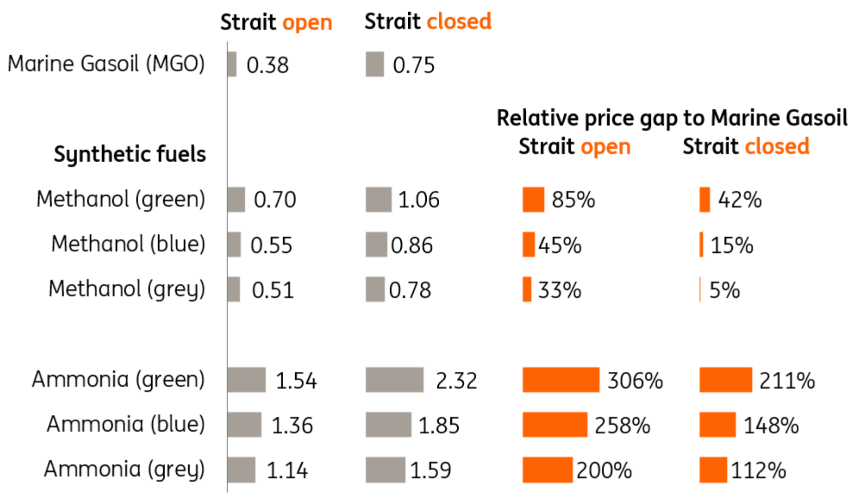
Methanol's biggest strategic value may be its optionality. When oil-product prices become more volatile, the value of being able to switch fuels - or at least switch procurement strategy – rises. That is precisely where dual-fuel capability becomes more than a decarbonisation story; it becomes a resilience story.

The oil shock narrows the methanol–oil price gap

Our model outputs show that higher prices for bunker fuels narrow the gap between methanol and marine gas oil (MGO). MGO roughly doubles in price, while methanol rises by about 50–60%. So relative competitiveness improves for methanol: while it is still more expensive, the *distance* between oil and methanol shrinks. But two important caveats remain. Oil products like MGO and VLSFO remain cheaper than blue and green methanol.

Price premium of synthetic fuels has narrowed now that oil prices are higher

Indicative unsubsidised costs of shipping fuels in $/DWT/1,000km



Source: ING Research

Why blue methanol is probably the attractive variant

Given that the green hydrogen market is still stuck in a pilot phase, blue methanol is a plausible near-term stepping stone: it scales earlier because it depends on gas plus CCS rather than small scale electrolysers. This "blue-first, green-later" pathway is also consistent with how many heavy-industry transitions unfold: deploy the imperfect-but-better option first, then upgrade as clean technologies become cheaper and renewable power becomes more abundant.

Ammonia remains on the radar: expensive now – promising in the long run

Ammonia is expensive in its blue and green variants, but this would offer strong climate benefits and real progress in CO2-reduction. Despite its challenging economics and inherent toxicity, market participants have not dismissed it as a viable option. The perception seems to be shifting from probably not to probably yes. But efficient usage is also a longer-term bet. Participants in the shipping sector now mostly refer to grey ammonia, which is already abundantly available for other purposes. But then again, this comes with more emissions, so it should not be viewed as a sustainable solution. However, overtime, blue and green variants could become more attractive if costs come down and carbon pricing is introduced.

LNG holds the best cards

LNG still looks like the stronger near-term route for ship owners, based on our numbers, because it combines lower emissions with lower costs compared to oil products. So, the Middle East oil supply crunch could accelerate a shift away from conventional fuels without necessarily accelerating a shift to synthetic fuels, like ammonia and methanol. It rewards the "closest substitute" that is available at scale, which is LNG.

That creates a strategic tension for the sector and for policymakers: energy security and cost pressures may drive faster adoption of LNG, while net-zero targets still require a ramp-up of truly low-carbon fuels like biofuels and synthetic fuels from blue and green production routes.

LNG vessels offer future flexibility for conversion to ammonia

While ammonia presents certain safety challenges, it holds significant long-term promise as a shipping fuel. The possibility of converting LNG-capable vessels to run on ammonia in the future enhances their strategic value, providing shipowners with greater flexibility. Investing in LNG-powered vessels is not only a cost-effective and lower-emission option in the near term, but also future-proof fleets, by allowing for a smoother transition to ammonia as technology and regulations evolve. As gas-propelled vessels, these ships can be adapted to operate on ammonia, supporting both decarbonisation goals and resilience in a changing energy landscape.

General momentum slowed amid policy headwinds
The total orderbook in global shipping also confirms that LNG leads as an alternative fuel. In May this year, 28% of the over 7,000 vessels on order are capable of running on alternative fuels, over half this share can run on LNG (15%). Methanol comes second, with particularly recent investments by several container liners.

After a post-pandemic acceleration, we saw orders for ships capable of running on alternative fuels slowed in 2025. During the second Trump administration, the United States shifted its policy and effectively lobbied International Maritime Organization (IMO) members to oppose the adoption of global measures aimed at advancing the industry's climate ambitions and implementing a carbon pricing mechanism. Against this backdrop, companies – including frontrunners like Maersk - are still pursuing a diversified strategy and keeping their options open.

All eyes on IMO as shipping needs a global carbon price to decarbonise

The IMO's Marine Environment Protection Committee is still discussing a framework to deliver on the previously agreed net-zero target (NZF) for 2050. The proposal agreed in 2025, which has since been postponed by member states, includes a carbon price of $100 per tonne of CO2 for emissions within the baseline, and $380 for non-compliance (we discussed the details here). Such a system could further narrow the cost gap with synthetic fuels and help pass additional costs along the value chain. After a year of delays, adjustments to the 2025 proposal now appear likely as stakeholders seek a compromise. However, it remains uncertain whether a final agreement will be reached.

It's important to keep in mind that shipping costs typically represent less than 5% of overall product costs that are being shipped. The high efficiency of shipping means that even if these costs increase substantially, the impact on end consumers is minimal and the price premium is barely noticeable for most products. However, this dynamic is quite different for shipping companies and charterers, which are directly affected by rising operational expenses. As such, effective policies are essential to address these challenges within the industry.

Cost, security and climate goals

In the current environment, shipping owners face significant uncertainty, as geopolitical tensions around the Strait of Hormuz continue to drive volatility in bunker fuel prices, like marine gasoil (MGO). Elevated MGO prices are narrowing the cost gap with synthetic fuels such as methanol and ammonia, at least in Europe. However, LNG stands out as the most cost-effective option, solidifying its position as the preferred fuel choice. Amid the ongoing conflict and unpredictable fuel availability, we expect shipping companies to look beyond cost considerations. Dual-fuel capabilities, diversified bunkering access, and flexible contracts that permit fuel switching are increasingly valuable strategies, especially if high prices persist. This dynamic is expected to accelerate orders for LNG, and methanol-ready vessels, supporting operational resilience while helping to future-proof fleets against further market disruptions. It may also help shipowners meet their climate targets by significantly reducing vessel emissions.

Appendix: scenario assumptions and model explainer

Two commodity price scenarios for the shipping sector from a Northwestern European perspective

Inputs	Low prices (Strait fully open)	High prices (Strait fully closed)
Gas & LNG (€/MWh)	30	50
Power (€/MWh)	75	120
CO_2 (€/ton)	75	100
VLSFO ($/ton)	500	1,000
MGO ($/ton)	750	1,500

Source: ING Research

Model explainer

Indicative emissions are modelled for an 82,000 deadweight tonnage (DWT) vessel, assuming 230 sailing days per year at an average speed of 12.5 knots. The analysis adopts a full life-cycle perspective, covering both well-to-tank (fuel production) and tank-to-wake (onboard combustion) emissions.

Natural gas is assumed as the primary feedstock for grey and blue methanol and ammonia, reflecting current production in Northwest Europe. As a result, no emission reductions from biomass or Direct Air Capture (DAC) are included. While these lower-carbon sources could be deployed in future pathways, particularly for methanol, they would come at higher cost and result in lower overall emissions compared to our figures. In this analysis, the “colour” reflects the pathway used to produce hydrogen: grey hydrogen is derived from unabated natural gas; blue hydrogen combines natural gas with carbon capture and storage (CCS); and green hydrogen comes from electrolysis powered by low carbon electricity.

For blue production routes, a CO2 capture rate of 80% is assumed. The relatively limited electricity demand in grey and blue pathways is assumed to be met by grid power with a carbon intensity of 200 kg CO2/MWh, broadly representative of the Netherlands and Belgium.

For green methanol and green ammonia, it is assumed that electrolysers are fully powered by low-carbon electricity (renewables, hydro or nuclear), sourced via Power Purchase Agreements (PPAs).

Emissions are expressed per tonne-kilometre, ensuring comparability across fuels.

In addition to the assumptions underpinning the emissions' analysis, we’ve used different economic assumptions for a world where the Strait of Hormuz opens or remains closed. Synthetic fuel costs are modelled using different values for gas, power, carbon and marine fuel prices (see table), while an exchange rate of €1 = $1.18 is used in both scenarios.

Hydrogen production is assumed to take place within a 50km radius of methanol and ammonia plants, with transport via pipeline. This results in hydrogen costs of €1.80/kg (grey), €2.00/kg (blue), and €4.50/kg (green) in the low price environment and €2.70/kg (grey), €3.10/kg (blue), and €6.65/kg (green) in the high price environment.

Finally, the results reflect fuel costs only and exclude vessel capex and opex, so they do not represent total cost of ownership.

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Webinar: Directional Economics CEE – who breaks, who bends on Energy Shock 2.0

Join ING's CEE economists for a live webinar on 21 May, looking at how the region copes with the 2026 oil shock. We'll also be analysing the change of government in Hungary and what can be learned from Poland's political experience, plus whether CEE central banks are about to make a policy mistake in reacting to inflation. Sign up here

The oil shock is a macro stress test for the CEE region

Source: Shutterstock

The oil shock that began in March isn't just another commodity move; it's a macro stress test for the CEE region at a time when disinflation was maturing, fiscal space was narrow, and demand was largely fragile. The differences that matter most aren't how much oil a country imports, but who has the institutional shock absorbers to manage the blow.

Join ING's CEE economists for a live webinar examining the fall out on the region from higher energy prices.

You'll learn:

- Which countries entered into this shock in a better position

- Where the structural burden of high oil prices will be felt the most.
- What policy changes can and cannot do
- The spillover to the CIS economies, through external buffers and currencies

Moving away from energy and into politics, we'll also be looking at the challenges facing the new Tisza government in Hungary and what it can learn from Poland's Civic Platform which returned to power in 2023.

And we'll be wrapping up with a look across the region at whether any central bank tightening into this inflation shock would represent a policy mistake.

This webinar will follow the publication of the latest Directional Economics, complete with updated forecasts and analysis of the CEE economies.

Details

Date: Thursday 21 May

Time: 1300 BST/1400 CEST

The webinar will last 60 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

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Rates Spark: The evaporation of real yields

Apart from excess supply, the biggest enemy for bonds is inflation. Well, we've got some of that to worry about, on both sides of the Atlantic, and the Pacific. The ratchet higher seen in bond yields has been measured and steady. But it risks becoming less measured, if the Strait remains closed and higher economy-wide prices are just allowed to become a thing

Higher US inflation is starting to have an impact on real yields

Inflation here there and everywhere

Headline US producer price inflation has hit 6%, and headline US consumer price inflation is approaching 4%. Both of these readings are for April. By the May readings, they'll be higher still. The US economy will become a base "4% inflation economy." While the expectation is for inflation to rise into the summer, but then to ease through the fall, we still have to acknowledge the importance of current printed inflation rates. It's the latest delivered inflation. No ifs or buts or forecasts, it's simply there.

The level of rates needs to be confronted against the elevated inflation rates that we have right now. The 10yr SOFR is now above 4%, approaching 4.05%. That's quite close to where printed CPI inflation is, meaning a puny implied real yield. Until inflation actually falls, this remains a relative value negative for rates. A low real yield means holders are barely keeping pace with inflation. Not good for Treasuries.

Meanwhile, the Fed pitches the effective funds rate at 3.64% currently. That's below headline inflation. Kevin Warsh was finally confirmed by the Senate as the new Fed Chair, but has no chance to cut rates against the current inflation environment, at least not any time soon. In fact, the dominant market discount attaches a greater probability to a hike than a cut as the next move. Also not good for Treasuries, as it pivots the front of the curve higher, placing relative value pressure on higher long tenor rates too.

Similar in the eurozone, but even more stark. The ECB has the deposit rate at 2%, yet headline inflation is running at 3%. That's a negative real depo rate to the tune of 1%; crude as measured off the latest print. But accurate for the same reason. Plus, inflation remains under rising pressure. Then we look at the 10yr rate. Take your pick; the 10yr Bund yield or the 10yr EURIBOR rate, both are above 3%. That's broadly flat to the headline inflation environment, and so a zero or very low real rate is in play in the 10yr. This pressures rates to remain elevated from a real rates perspective, and risk of the build of a cushion over inflation grows every day the Strait remains closed.

Overall, we await outcomes from China, on the summit with the US. We also await the next moves on the Iran war front, which likely comes after our China wait. And we wait for the elevated oil price to continue to filter into printed inflation. All the while, the logic for elevated yields, and especially longer-term ones remains in place. We likely get an overshoot before we calm, but we're still on that overshoot uplift, which could well last a few more weeks. Or we get there much faster, and in a more disorderly manner (risk case). By mid-year, market rates likely have calmed. It's the in-between period that concerns us.

Thursday’s events and market view

Many parts of continental Europe are off for Ascension Day, arguing for a quieter trading session. After UK GDP and industrial production data in the morning, the remaining releases of note this day will come out of the US with the publication of retail sales data, import/export prices and the weekly jobless claims report.

On the central bank front there will be public appearances by the ECB’s Lagarde and BoE’s Chief Economist Pill. Fed speakers for the day are Schmid, Hammack, Barr and Williams.

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Disclaimer

No need to touch Czech interest rates despite upbeat core inflation

Czech headline inflation is mitigated by the still muted food price dynamic. Meanwhile, core inflation is set to remain elevated while shaped by opposing forces of higher energy prices and tighter budgets. Regulated prices pose a risk to price stability, yet positive real interest rates suggest stringent enough policy as risks to growth mount

Czech consumer inflation came in at 2.5% year-on-year in April. We expect annual core inflation to remain elevated for the rest of the year

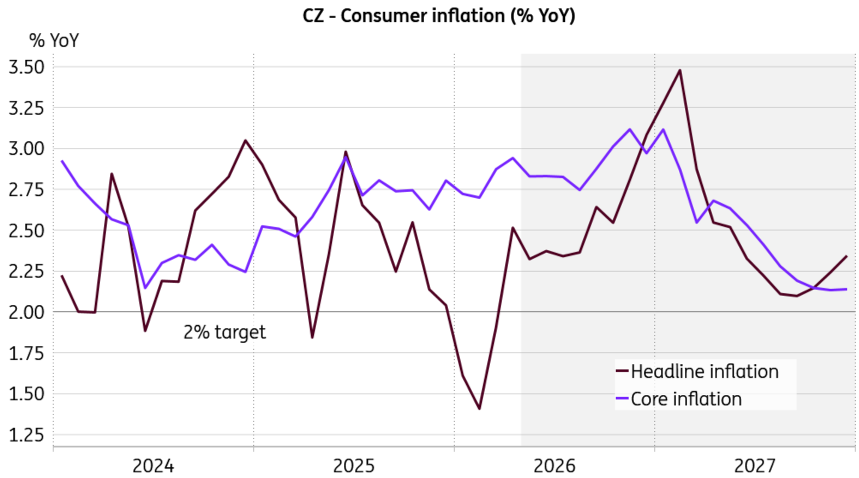
Food prices hold headline inflation back

Czech consumer inflation was confirmed at 2.5% year-on-year in April. The monthly increase of 0.5% was again driven mostly by higher prices in the transport section because of the global energy shock. We saw prices crawling up in the alcohol and tobacco section. The price gains in the housing section were mainly driven by higher imputed rents, along with charges for heat and hot water. April's imputed rents dynamic is in-line with our mild scenario simulation for this item. In contrast, foodstuffs recorded another monthly drop and carried on in annual decline. Prices of goods gained 1.1% YoY in April on aggregate, while prices of services added 4.8% YoY.

Core rate set to remain elevated

With annual core inflation at 2.9% in April, we expect this measure to remain punchy over the year. Still, we will witness two counteracting forces in the price domain. Higher energy prices will trickle down through all other price circuits as second-round effects on the one hand. Meanwhile, a tighter budgetary constraint due to higher energy bills will dampen the ability and willingness to spend, especially on discretionary items. Add the approaching pressure on economic activity linked to the global negative supply shock, and I believe that you would hardly bet your bottom dollar on how the resultant force vector emerges.

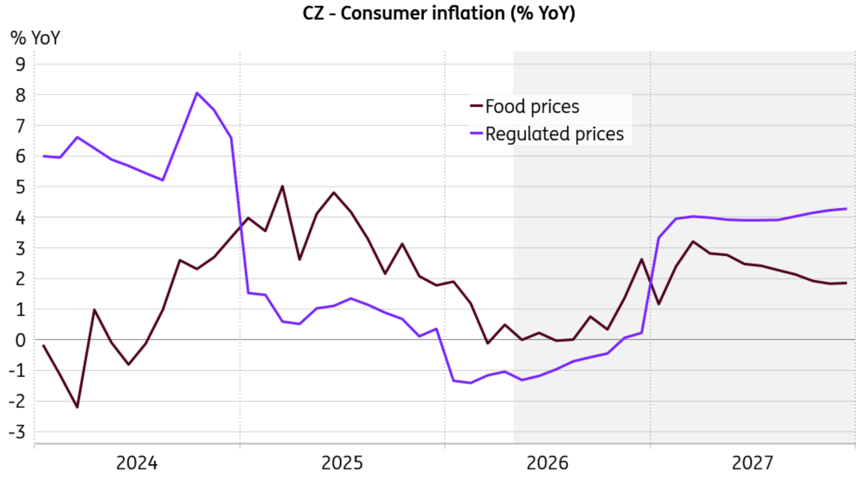
Headline inflation set to peak early next year



Source: CZSO, ING, Macrobond

We expect core inflation to average just below 3% and to gradually soften toward 2% over the next year. Fuel prices are about to drop in May based on preliminary price surveys, as the margin ceiling for fuel stations set by the government starts to kick in as a binding condition. To capture this administrative measure, we plug in a rather extensive expert judgement of -4% to May's monthly fuel prices that reverts the dynamics suggested by sole model forecast based on exogenous variables such as oil price and exchange rate. This is the decisive factor that takes this year's headline inflation outlook somewhat below our previous projection. In the end, along with volatile food prices, we must welcome yet another enfant terrible into our projection exercise, which is administered fuel prices. And I am sorry for this change, as in the model it works wonderfully well for fuel prices.

Regulated and food prices pose risks to next year's inflation



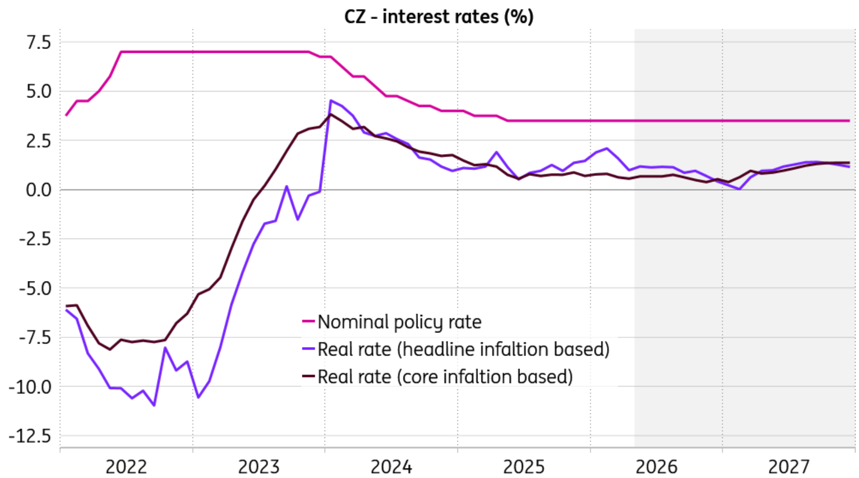
Source: CZSO, ING, Macrobond

In any case, headline inflation gets punchier next year on average due to a more pronounced increase in regulated prices. The large energy distributors have quite some leeway before they must purchase energy for ample market prices, but as the Middle Eastern conflict gets protracted, we will likely see more propensity to raise electricity and natural gas end prices at the onset of the upcoming year. For sure, we may anticipate some government measures to mitigate the impact on households and firms, yet it is too soon to implement a particular judgement into our forecast at this stage.

Don't push the economy across the cliff

In the current situation, we come back to the basic rule of the Hippocratic Oath: primum non nocere. So, don't push the economy across the cliff via higher capital costs, especially as it's tough to quantify the upcoming negative consequences for growth right now, with sharp discontinuities taking shape on the horizon as the global shock drags on. It seems that the Czech National Bank is on the same page and will proceed in soft gloves, keeping the base rate untouched.

Real interest set to remain in the positive territory



Source: CNB, ING, Macrobond

Considering our base case scenario with Brent Crude prices hovering above US$100/bbl until August and then gradually receding, the real interest rates would remain mostly positive, which could be deemed as having a restrictive effect on economic activity. With a growing potential for economic nausea, there is not much need to make conditions for households and firms even tougher in times of ample uncertainty.

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Webinar: Oil, Iran and the markets: what happens next?

Join ING's economists and strategists for a live webinar on 15 May, looking at the scenarios for energy prices and the impact across the global economy and financial markets. Sign up here

Source: Shutterstock

Ten weeks on from the start of the Iran war and energy markets remain in limbo. Traffic through the Strait of Hormuz shows little sign of recovery. Will this week's meeting between Presidents Trump and Xi see a breakthrough? And just how far could oil prices fall if diplomacy succeeds – and rise if it doesn't?

Join ING's economists and strategists for a live webinar looking at the scenarios for energy prices and the impact across the global economy and financial markets.

You'll learn:

- Where oil and natural gas prices head under different Middle East scenarios

- How fragile the supply picture really is – and what oil futures tell us about investor expectations

- Whether the Federal Reserve can really hike rates this year and what Chair Kevin Warsh could mean for the interest rate outlook

- The outlook for EUR/USD and the main drivers of FX markets right now

- Why credit spreads have stayed tight and whether supply conditions are improving for issuers

This webinar will follow the publication of the latest ING Monthly, complete with updated forecasts and analysis of the major economies

Details

Date: Friday 15 May

Time: 0930 BST/1030 CEST

The webinar will last 45 minutes, including a Q&A session at the end.

The event will take place online and the waiting room will open 60 minutes ahead of the scheduled start time.

A joining link will be emailed following registration, and you will receive a reminder email 10 minutes before the scheduled start time.

Speakers

- **Warren Patterson** (Head of Commodities Strategy)
- **James Knightley** (Chief International Economist, US)
- **Chris Turner** (Global Head of Markets and Regional Head of Research for UK & CEE)
- **Timothy Rahill** (Credit Strategist, ING)
- Hosted by **Rebecca Byrne** (Deputy Global Head of Editorial)

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Rates: The hidden force pushing gilt yields to record highs

The 10Y gilt yield hit new highs on the back of inflation and political risks, but investors should not ignore the role of the Bank of England's QT in this. We estimate the 2s10s GBP curve steepened by 60bp more than the USD curve due to the increased gilt supply and the divergence can continue. This could also be a lesson for Warsh who may look to walk a similar path

The Bank of England, London. The central bank's quantitative tightening is adding to the upward pressure on gilt yields

Global factors add to GBP term premium, but not entire story

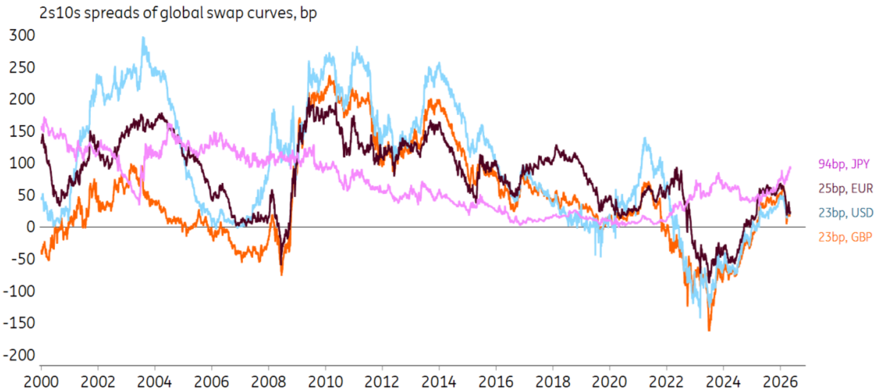
The 10Y gilt yield has hit its highest level since 2008, and whilst the near-term focus remains on oil prices and politics, the Bank of England's balance sheet unwind poses further upside risk. And with the discussion about quantitative tightening (QT) flaring up again in the US under new Fed leadership, markets can learn from the potential impact on US rates by looking at the UK.

Sterling rates are relatively sensitive to global market moves, and the spillovers from the US term premium play an especially important role. Between 2023 and today, the correlation of weekly changes in the 2s10s of the GBP curve and the US curve has been a significant 0.6. If we take the 2s10s term spread as a rough proxy of the term premium, both seem to be similar at first sight.

The market optimism in US equity markets helps the US curve steepen again and also adds to the upward pressure on gilt yields.

Japan's curve shows a very different picture, and therefore we cannot simply assume a single global factor explains all term premia. For one, Japan's economy has followed a very different path compared to other countries, experiencing stagflation for prolonged periods of time. Second, and of more importance to our analysis, is the fact that the Bank of Japan has intervened significantly more in the rates market through balance sheet policy than other central banks.

Global term premia are strongly correlated but domestic factors play a role too

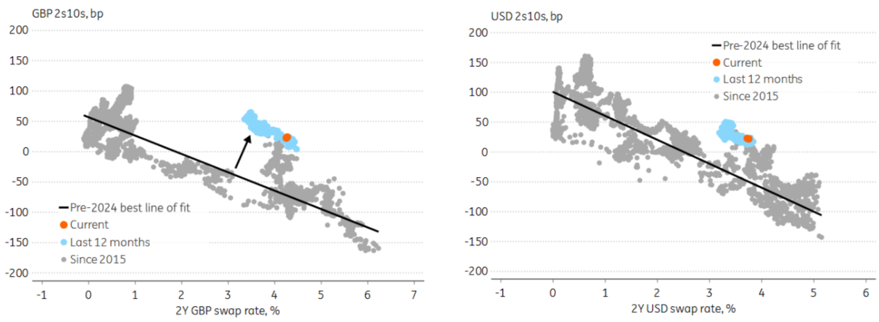


Source: ING estimates, Macrobond

Besides a global factor, the term spread is also driven by the business cycle. When a central bank hikes rates, curves tend to flatten, and vice versa. These moves seem more pronounced than purely explained by changes in the expected policy rates. As such, the 2Y rate is arguably an important ingredient for the term premium.

And indeed, when looking over the past decade, the 2Y and the 2s10s show a strong negative correlation. The interesting observation here is that the term premium of the GBP curves seems to have increased disproportionately to the change in 2Y rates. This effect is also visible for the USD curve, but to a much lesser extent.

When accounting for 2Y dynamics, the GBP curve recently steepened more than the USD curve

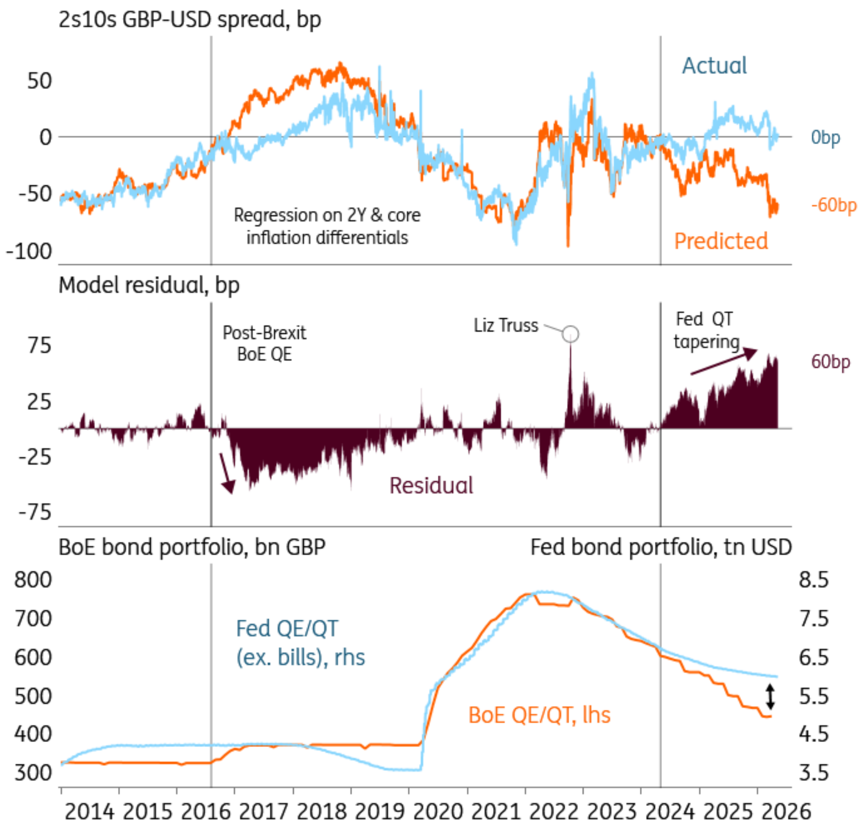


Source: ING estimates, Macrobond

We explore the divergence by looking at the spread differential of the 2s10s between the GBP and USD curve. Besides the 2Y spread differential, we add relative inflation to the model, which greatly improves the fit when used in conjunction with 2Y rates. Inflation differentials capture changing macro regimes and can help explain the term premium investors demand for holding longer dated bonds.

Our three variable regression model (Fig 3) captures 83% of the variation in the difference between the 2s10s of the GBP and USD curve, whereby especially the residuals are of interest. We can easily identify three events that explain the deviation from our model, namely 1) QE by the Bank of England starting in 2016, 2) the Lizz Truss moment in 2022 and 3) the Fed's tapering of QT in 2024. Outside of these periods the residual is close to zero, suggesting we are not missing any important variables.

QT seems to play a part in explaining a 60bp steeper GBP 2s10s curve

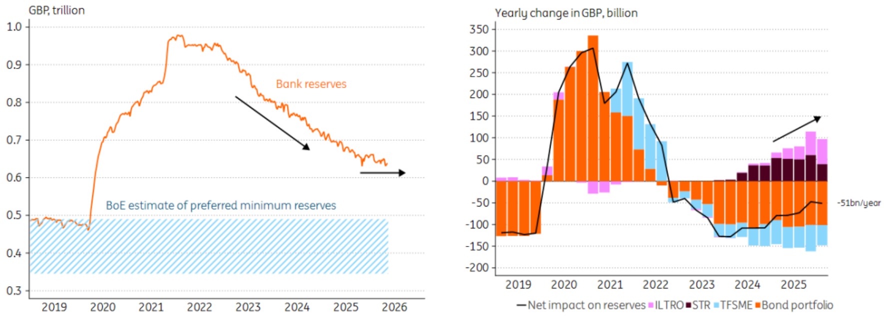


Source: ING, Macrobond

Whilst the Fed announced a significant tapering of QT in May 2024, the pace of QT has remained much higher in the UK, helping explain the residual in our model. The Bank of England is continuing with active sales, bringing the wind-down to a significant £70bn per year. In terms of numbers, the 2s10s GBP curve is now some 60bp steeper since this divergence in monetary policy.

The Fed faced reserve constraints, forcing it to slow QT, but the Bank of England does not have this problem, allowing QT to continue. Even though shrinking the bond book has extracted reserves from the banking system, a significant uptake of the Short Term Repo (STR) and Indexed Long-Term Repo (ILTR) have managed to stabilise reserves. In effect, the market stress in US repo markets never showed up in sterling markets.

Significant pickup in BoE liquidity facilities are preventing reserves from falling, allow QT to continue

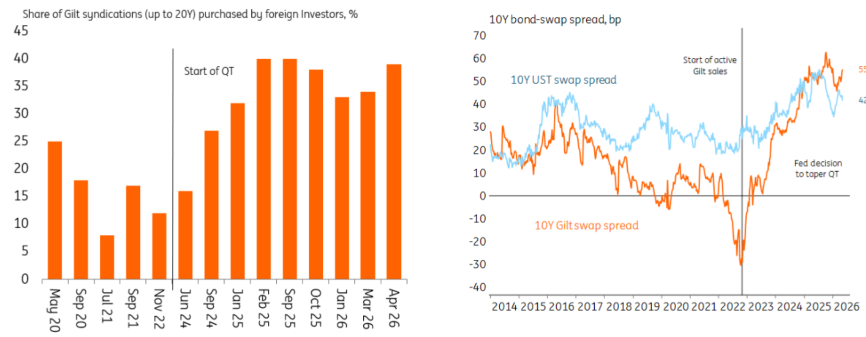


Source: ING estimates, Bank of England, Macrobond

With money markets seemingly stable, in theory, the Bank of England can continue unwinding the gilt portfolio, albeit at the expense of higher government borrowing costs. An August report from the Bank of England suggested that QT had an impact of 15-25bp as of then on longer-dated rates. But when you also include the changes in swap spreads, our estimate of the impact from QT on gilt yields is significantly higher. Since the start of QT, the 10Y Gilt-swap spread rose more than 80bp, adding to the steeper swap curve.

With more gilt supply continuing to hit the market, including significant government issuance, investors may demand higher yields to be lured in. Already we see that gilt auctions have started to rely more on foreign demand to clear since the start of QT in 2023. Before 2023, the foreign uptake of gilt syndications up to 20Y was just 10%. This increased to over 25% after the start of QT. Foreign investors tend to be more price sensitive compared to domestic players such as banks, pension funds and insurance funds. Domestic players are more likely to buy gilts for reasons like liquidity and hedging regulation.

Since QT, gilt markets have relied on more price-sensitive foreign investors, helping push up 10Y gilt yields



Source: ING estimates, DMO, Macrobond

So while we continue to see a rising term premium for the UK, we think a dovish repricing of policy rates should start bringing down the curve. But the scope for lower 10Y gilt yields is limited. We identify 4.5% as a realistic fair value in 2027. We believe the dynamics in the UK serve as a good lesson for Fed policy too. If new Chair Kevin Warsh manages to follow up with his plans to unwind the Fed's bond portfolio at an accelerated pace, then the US curve should see more steepening.

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